

Innolight (300308.SZ)

Optical module mix upgrade and tech migration opportunities to drive growth; revise estimates and TP

300308.SZ 12m Price Target: **Rmb2,581.00** Price: **Rmb1,113.00** Upside: **131.9%**

We revise our estimates for Innolight to reflect our view on the company's (1) silicon photonics (SiPh)-based module shipment growth, driven by AI server rack ramp-up; (2) market expansion to scale-up and scale-across, in addition to scale-out; and (3) product-mix upgrade driving better profitability. As the largest global provider of optical interconnect solutions by revenue, Innolight offers solutions that enable high-speed, energy-efficient, and low-latency data transmission across increasingly complex and data-intensive cloud and AI infrastructure.

Earnings revision: Factoring in the above and the 1Q26 results, we revise up our 2026-28E earnings by 65%/ 108%/ 119%, mainly on higher revenue, higher GM, a lower opex ratio, and the ramp-up of optical transceiver shipments driven by rising AI spending and mix upgrades in optical transceivers. Overall, we forecast Innolight's revenue/net profit CAGR of 64%/69% over 2026-28E.

Valuation: Our 12-month target price of Rmb2,581 (vs. Rmb1,187 previously) on Innolight is still based on 2027E P/E, with our target multiple of 35.8x (vs. 34.2x) derived from the correlation between net income growth/OPM and the valuation of its peers. The revised target multiple reflects our view of the company's earnings growth and OPM expansion in the coming years, driven by business expansion. We are Buy rated.

Key risks: 1) Slower-/worse-than-expected 800G+ optical module demand; 2) slower/worse-than-expected new optical devices ramp pace; 3) faster-than-expected market share normalizing in 800G+ optical modules; 4) geopolitical risks; and 5) worsening component supply situations to constrain shipment growth.

BUY

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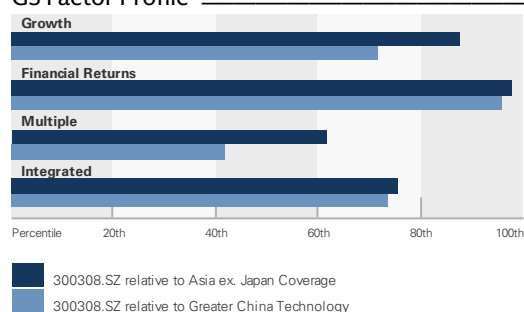
Key Data

Market cap: Rmb1.2tr / \$182.7bn
Enterprise value: Rmb1.2tr / \$176.6bn
3m ADTV: Rmb32.8bn / \$4.8bn
China
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	38,239.9	123,648.7	249,630.3	334,037.8
Revenue (Rmb mn) Old	38,239.9	78,920.9	124,789.6	152,884.1
EBITDA (Rmb mn)	14,220.7	51,356.2	106,675.5	147,788.7
EPS (Rmb) New	9.72	34.56	72.10	98.68
EPS (Rmb) Old	9.72	20.89	34.72	44.98
P/E (X)	25.9	32.2	15.4	11.3
P/B (X)	8.8	12.0	6.9	4.3
Dividend yield (%)	0.6	0.4	0.9	1.3
CROCI (%)	69.0	110.6	128.2	137.5
	3/26	6/26E	9/26E	12/26E
EPS (Rmb)	5.16	7.07	8.64	13.69

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Innolight (300308.SZ)

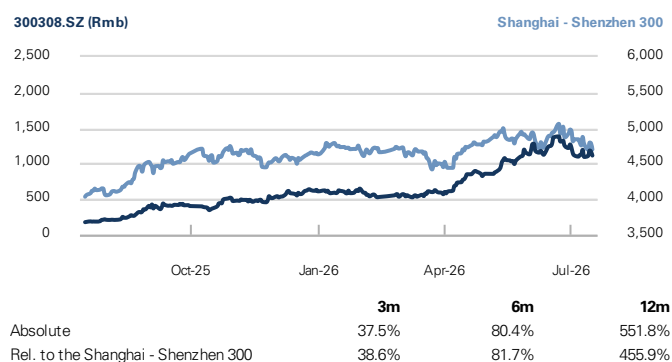
Rating since Oct 24, 2023

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	25.9	32.2	15.4	11.3
P/B (X)	8.8	12.0	6.9	4.3
FCF yield (%)	2.9	0.7	5.0	8.8
EV/EBITDAR (X)	19.1	23.3	10.8	7.2
EV/EBITDA (excl. leases) (X)	19.1	23.3	10.8	7.2
CROCI (%)	69.0	110.6	128.2	137.5
ROE (%)	44.2	60.5	60.9	51.5
Net debt/equity (%)	(29.7)	(45.6)	(54.4)	(67.7)
Net debt/equity (excl. leases) (%)	(29.7)	(45.6)	(54.4)	(67.7)
Interest cover (X)	214.0	991.2	2,063.9	2,800.4
Days inventory outst, sales	94.2	62.7	61.1	58.8
Receivable days	52.6	40.0	39.0	38.0
Days payable outstanding	93.1	55.0	55.0	58.0
DuPont ROE (%)	34.1	37.3	44.6	38.4
Turnover (X)	0.8	1.0	1.2	1.1
Leverage (X)	1.4	1.2	1.2	1.1
Gross cash invested (ex cash) (Rmb)	21,452.9	56,126.6	83,700.7	96,195.1
Average capital employed (Rmb)	20,072.7	39,128.2	69,033.2	87,201.9
BVPS (Rmb)	28.46	92.71	161.81	257.24

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	60.3	223.3	101.9	33.8
EBITDA growth	117.4	261.1	107.7	38.5
EPS growth	105.9	255.7	108.6	36.9
DPS growth	175.3	255.7	108.6	36.9
EBIT margin	35.0	40.8	42.1	43.6
EBITDA margin	37.2	41.5	42.7	44.2
Net income margin	28.2	31.1	32.1	32.8

Price Performance**Income Statement (Rmb mn)**

	12/25	12/26E	12/27E	12/28E
Total revenue	38,239.9	123,648.7	249,630.3	334,037.8
Cost of goods sold	(22,165.5)	(64,583.3)	(128,165.0)	(166,520.8)
SG&A	(1,064.7)	(3,388.7)	(6,365.6)	(8,536.8)
R&D	(1,615.3)	(5,197.5)	(9,985.2)	(13,361.5)
Other operating inc./exp.)	—	—	—	—
EBITDA	14,220.7	51,356.2	106,675.5	147,788.7
Depreciation & amortization	(826.2)	(877.0)	(1,561.0)	(2,170.1)
EBIT	13,394.4	50,479.2	105,114.6	145,618.6
Net interest inc./exp.)	181.7	279.4	279.4	280.0
Income/(loss) from associates	324.1	19.1	—	—
Pre-tax profit	13,599.6	50,471.9	105,393.9	145,898.6
Provision for taxes	(2,019.9)	(8,174.7)	(17,073.8)	(24,073.3)
Minority interest	(782.5)	(3,896.0)	(8,213.8)	(12,182.5)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	10,797.3	38,401.2	80,106.4	109,642.8
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	10,797.3	38,401.2	80,106.4	109,642.8
EPS (basic, pre-exception) (Rmb)	9.72	34.56	72.10	98.68
EPS (diluted, pre-exception) (Rmb)	9.72	34.56	72.10	98.68
EPS (basic, post-exception) (Rmb)	9.72	34.56	72.10	98.68
EPS (diluted, post-exception) (Rmb)	9.72	34.56	72.10	98.68
DPS (Rmb)	1.40	4.98	10.39	14.22
Div. payout ratio (%)	14.4	14.4	14.4	14.4

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	10,986.9	48,583.9	99,349.9	195,054.7
Accounts receivable	6,349.5	20,751.6	32,594.1	36,959.0
Inventory	12,680.7	29,785.0	53,785.6	53,882.7
Other current assets	1,066.9	1,066.9	1,066.9	1,066.9
Total current assets	31,084.0	100,187.4	186,796.5	286,963.3
Net PP&E	7,080.6	13,301.7	18,838.6	23,766.3
Net intangibles	377.6	309.4	241.6	173.8
Total investments	1,263.0	1,263.0	1,263.0	1,263.0
Other long-term assets	5,483.8	5,483.8	5,483.8	5,483.8
Total assets	45,289.0	120,545.3	212,623.5	317,650.2
Accounts payable	7,800.4	11,663.0	26,962.0	25,959.7
Short-term debt	1,085.6	1,085.6	1,085.6	1,085.6
Short-term lease liabilities	—	—	—	—
Other current liabilities	2,672.5	2,672.5	2,672.5	2,672.5
Total current liabilities	11,558.5	15,421.1	30,720.1	29,717.7
Long-term debt	510.0	510.0	510.0	510.0
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	1,599.3	1,599.3	1,599.3	1,599.3
Total long-term liabilities	2,109.3	2,109.3	2,109.3	2,109.3
Total liabilities	13,667.8	17,530.4	32,829.4	31,827.0
Preferred shares	—	—	—	—
Total common equity	29,765.2	97,262.9	165,828.3	259,674.8
Minority interest	1,856.0	5,752.0	13,965.8	26,148.3
Total liabilities & equity	45,289.0	120,545.3	212,623.5	317,650.2
Net debt, adjusted	(9,391.3)	(46,988.3)	(97,754.3)	(193,459.1)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	10,797.3	38,401.2	80,106.4	109,642.8
D&A add-back	826.2	877.0	1,561.0	2,170.1
Minority interest add-back	782.5	3,896.0	8,213.8	12,182.5
Net (inc)/dec working capital	(3,015.7)	(27,643.7)	(20,544.1)	(5,464.4)
Other operating cash flow	1,505.8	(0.4)	—	—
Cash flow from operations	10,896.1	15,530.1	69,337.0	118,531.1
Capital expenditures	(2,760.0)	(7,030.0)	(7,030.0)	(7,030.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	141.4	0.4	—	—
Cash flow from investing	(2,618.6)	(7,029.6)	(7,030.0)	(7,030.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(1,082.7)	(5,532.5)	(11,541.0)	(15,796.3)
Inc/(dec) in debt	(1,080.8)	—	—	—
Other financing cash flows	(180.9)	34,629.0	0.0	0.0
Cash flow from financing	(2,344.4)	29,096.5	(11,541.0)	(15,796.3)
Total cash flow	5,933.1	37,597.0	50,766.0	95,704.8
Free cash flow	8,136.1	8,500.1	62,307.0	111,501.1

Source: Company data, Goldman Sachs Research estimates.

Key player in the global optical transceiver market

Innolight is the largest optical interconnect solution provider globally in terms of the relevant revenue in 2025, per LightCounting and CIC, with a market share of 21.2%. This is supported by its R&D capabilities, customer trust and collaboration, large scale with cost advantages, and production & supply chain capabilities. The company is the leading supplier across all high-speed optical transceiver segments, including 400G, 800G, and 1.6T products.

800G, 1.6T and above optical transceivers as key growth drivers

In 2026/27/28E, we expect the global optical transceiver market to reach US\$51bn/73bn/69bn, with the 800G and above segment increasing at a +31% CAGR and reaching US\$32bn/ 55bn/ 56bn. This is supported by the accelerated specification migrations in AI data center optical transceivers and the growing number of rack-level AI servers powered by NVIDIA. We expect the number of racks to increase to 55k / 105k / 163k over 2026–28E, thereby requiring more optical transceivers.

We expect 800G/1.6T shipment volumes to be at 34m/26m units in 2026E, growing to 45m/46m in 2027E, with 3.2T shipments ramping up to 13m in 2027E, as 800G has become the mainstream specification for large-scale data centers. We expect 1.6T to see a significant volume ramp-up from 2026 onwards, with adoption of 3.2T starting in 2027E. Migration of AI server networking is ongoing; for example, NVIDIA's rack-level AI servers — GB200 uses 400G (GPU layer) and 800G networking (leaf, spine, and core layers) and GB300 uses 800G (GPU layer) and 1.6T (leaf, spine layer). We expect NVIDIA's Rubin and Rubin Ultra to further migrate to 1.6T and 3.2T by 2027/ 28E. Silicon photonics will account for 60%/ 80%/ 100% of 800G/1.6T/3.2T optical transceivers by 2026E, in our view. **Read more:** [Global optical transceiver TAM](#).

Global Optical module market opportunity

US\$ m	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
Global Optical module TAM												
Global TAM (US\$m)	6,570	7,969	9,607	10,066	10,142	12,047	12,770	15,925	34,211	50,883	72,593	69,135
Below 400G	4,195	4,315	4,286	4,031	4,077	4,432	4,283	4,093	16,827	16,886	16,166	13,196
400G	1,804	1,023	950	432	359	422	523	441	4,209	1,745	969	287
800G	571	2,120	2,902	3,725	2,706	3,457	3,557	3,810	9,318	13,530	14,715	10,761
1.6T	-	511	1,469	1,877	3,000	3,736	4,406	7,581	3,857	18,722	27,403	23,264
3.2T	-	-	-	-	-	-	-	-	-	-	13,340	21,625
By Speed Mix	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Below 400G	64%	54%	45%	40%	40%	37%	34%	26%	49%	33%	22%	19%
400G	27%	13%	10%	4%	4%	4%	4%	3%	12%	3%	1%	0%
800G	9%	27%	30%	37%	27%	29%	28%	24%	27%	27%	20%	16%
1.6T	0%	6%	15%	19%	30%	31%	35%	48%	11%	37%	38%	34%
3.2T	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	18%	31%
By Material Mix	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
SiPh	14%	24%	32%	36%	38%	40%	42%	48%	28%	43%	56%	62%
EML	86%	76%	68%	64%	62%	60%	58%	52%	72%	57%	44%	38%

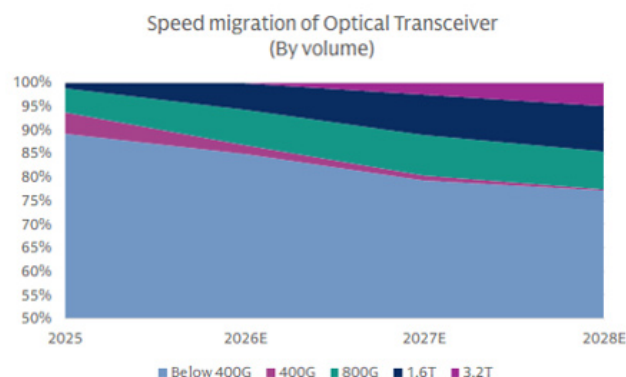
	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
Global Optical module shipment TAM												
Global shipment (k units)	98,631	101,929	103,907	98,580	103,818	114,888	113,138	120,425	403,046	452,269	528,286	556,429
Below 400G	89,489	92,054	91,433	85,999	91,563	99,529	96,186	97,013	358,975	384,292	419,238	428,689
400G	7,845	4,448	4,129	1,880	1,673	1,968	2,439	2,214	18,301	8,295	5,268	2,007
800G	1,297	4,819	6,596	8,466	6,666	8,514	8,760	10,243	21,178	34,183	44,993	44,047
1.6T	-	608	1,749	2,235	3,916	4,877	5,753	10,955	4,591	25,500	45,719	53,525
3.2T	-	-	-	-	-	-	-	-	-	-	13,067	28,162
Mix	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Below 400G	91%	90%	88%	87%	88%	87%	85%	81%	89%	85%	79%	77%
400G	8%	4%	4%	2%	2%	2%	2%	2%	5%	2%	1%	0%
800G	1%	5%	6%	9%	6%	7%	8%	9%	5%	8%	9%	8%
1.6T	0%	1%	2%	2%	4%	4%	5%	9%	1%	6%	9%	10%
3.2T	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	2%	5%

SiPh penetration rate	4%	5%	7%	8%	8%	9%	10%	13%	6%	10%	15%	18%
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	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
ASP (US\$)												
By speed (US\$)	71	81	94	97	103	116	111	141	85	113	137	124
Below 400G	50	48	47	44	47	48	43	43	47	44	39	31
400G	234	130	214	105	191	252	266	181	230	210	184	143
800G	456	1,635	602	565	320	519	418	435	440	396	327	244
1.6T			2,416	1,073	1,342	954	904	1,318	840	734	599	435
3.2T												768
YoY					45%	44%	18%	45%		33%	22%	-10%
Below 400G					-6%	0%	-8%	-3%		-6%	-12%	-20%
400G					-18%	93%	25%	72%		-9%	-13%	-22%
800G					-30%	-68%	-31%	-23%		-10%	-17%	-25%
1.6T							-63%	23%		-13%	-18%	-27%
3.2T												-25%

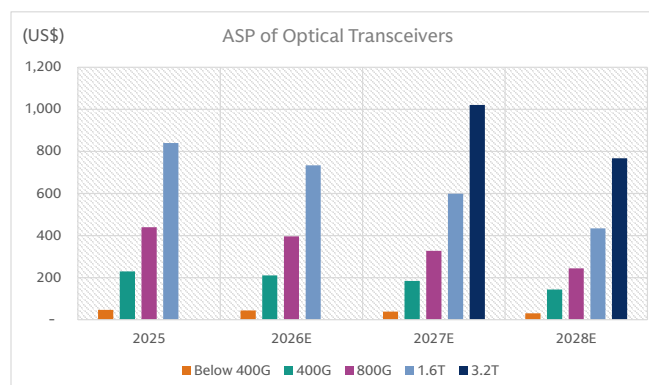
Source: Goldman Sachs Global Investment Research

Exhibit 1: Global Optical transceivers: 800G/ 1.6T/ 3.2T to account for 8%/ 10%/ 5% of the total transceiver volume by 2028E



Source: Goldman Sachs Global Investment Research

Exhibit 2: Global Optical transceivers: We assume an ASP decline YoY for like-for-like products



Source: Goldman Sachs Global Investment Research

Growth underpinned by optical technology with next-generation R&D focus

Innolight continues to identify and invest early in technological innovations, for example, by securing an early-mover advantage in SiPh technology, which enhances product performance, reduces assembly complexity, and improves sourcing flexibility. We summarize Innolight's competitive moats as follows: 1) well-established technology reserves, 2) investment in next-generation optical interconnect integration R&D, 3) seamless coordination and reproducible production processes, and 4) a stable supply chain.

1. Well-established technology reserves

(1) Silicon Photonics (SiPh): Advanced product performance with increasing component integration and reduced assembly complexity, leading to lower costs; (2) Coherent optical communication: Now capable of mass-producing proprietary coherent devices, lasers, and coherent optical sub-assemblies; (3) Extra-dense pluggable optics (XPO): A next-generation liquid-cooled pluggable optical technology designed for hyperscale AI data centers with increased capacity and front-panel port density compared to OSFP (octal small form factor pluggable), without fundamentally changing the system architecture; (4) Linear-drive pluggable optics (LPO) and linear receive optics (LRO) solutions.

2. Investment in next-generation optical interconnect integration R&D

The company has secured an early-mover advantage in SiPh technology, which enhances product performance, reduces assembly complexity, and improves sourcing flexibility. Innolight was the first to introduce transformative SiPh optical transceivers and is the first company to commercialize SiPh technology in high-speed optical transceivers at scale.

3. Integrated coordination and reproducible production processes

Innolight has dedicated new product introduction (NPI) teams that integrate product R&D and early-stage production functions. This shortens the cycle from initial

development to mass production and enables the company to rapidly introduce next-generation products to market. Highly standardized and easily reproducible production processes accelerate time-to-market for customers in a rapidly evolving industry. The company's production equipment is compatible with the majority of processes and is capable of being used for the production of different types of optical transceivers. This allows the company to achieve mass delivery swiftly, leveraging its existing capacity.

4. A stable supply chain

The company is committed to establishing strategic, long-term partnerships with suppliers, actively supporting technological roadmaps and international expansion, aligning their growth with Innolight's innovation and global strategy. These deepening partnerships enhance both the stability and the cost-competitiveness of the company's supply chain.

Earnings revisions: Factoring in the latest results and the expanding optical transceivers market

Our revised estimates for Innolight reflect our view on its (1) silicon photonics (SiPh)-based module shipment growth, driven by AI server rack ramp-up; (2) market expansion to scale-up and scale-across, in addition to scale-out; and (3) product-mix upgrade driving better profitability. After also incorporating the latest 1Q26 results, we revise up our 2026-28E earnings by 65%/ 108%/ 119%, mainly on higher revenues, higher GM, and a lower opex ratio.

- **Revenue:** Raised by 57% / 100% / 118% in 2026-28E mainly on: (1) Pluggable optical module shipments: Raised on a more stable market share considering the fast-evolving technology and tight component supply driven by the growing AI infrastructure, which could slow down the entry of new players. The company expects its capacity to more than double in 2026E, higher than our previous shipment assumption (+17% YoY); (2) Pluggable optical module ASP: raised on higher shipment exposure to EML-based modules, which carry a higher ASP, in line with the historical trend; and (3) Added revenues from scale-up, NPO / CPO optical engines, FAU / ELS modules for CPO switches, OCS switches, and scale across (pluggable optical modules). Overall, we expect Innolight's revenue to grow at a 64% CAGR over 2026-28E, driven by the ramp-up of optical transceiver shipments, supported by rising AI spending and a mix upgrade towards 800G and 1.6T and above optical transceivers.
- **GM:** Changed by +2.8ppt / +0.5ppt / -1.6ppt in 2026-28E due to a mix of: (1) higher shipments of high-speed pluggable optical modules assuming a more stable market share, and (2) higher shipments of EML-based modules, which carry a higher ASP but lower GM.
- **Opex ratio:** Reduced the opex ratio on a larger revenue scale, driving operational efficiency.
- **Net income:** The net income raise is smaller than the OP income raise as we have increased the minority and tax rates, consistent with the historical trend.

Exhibit 3: We revise our estimates for 2026-28E

Rmb mn	2026E			2027E			2028E		
	Old	New	Chg	Old	New	Chg	Old	New	Chg
Revenue	78,921	123,649	57%	124,790	249,630	100%	152,884	334,038	118%
GP	35,476	59,065	66%	60,154	121,465	102%	79,063	167,517	112%
OP	29,892	50,479	69%	50,171	105,115	110%	65,303	145,619	123%
Net income	23,211	38,401	65%	38,578	80,106	108%	49,974	109,643	119%
Margins									
GM	45.0%	47.8%		48.2%	48.7%		51.7%	50.1%	
OPM	37.9%	40.8%		40.2%	42.1%		42.7%	43.6%	
NM	29.4%	31.1%		30.9%	32.1%		32.7%	32.8%	

Source: Goldman Sachs Global Investment Research

Financial highlights**P&L**

We forecast **revenue** to grow at 64% CAGR over 2026-28E, driven by: (1) higher shipments of Silicon Photonics optical modules and an ASP increase, and (2) market expansion to scale-up and scale-across in addition to scale-out:

- **SiPh-based module shipment growth** (+52% CAGR), driven by AI server rack ramp-up, and the company's leading market share in high-speed optical modules, with a SiPh-based module **ASP increase** (+11% CAGR), supported by product-mix upgrades to 1.6T / 3.2T optical modules.
- **Market expansion to scale-up and scale-across, in addition to scale-out**, by launching new products: optical engines, FAU (Fiber Array Unit), ELS (External Laser Source) modules, and OCS (Optical Circuit Switch).
- Our shipment estimates imply that the UT rate will stay elevated at 71-80% in 2026-28E, despite capacity expansion.

We forecast the **GM to improve from 42% in 2025 to 50% in 2028E**, driven by a product-mix upgrade from EML (Electro-Absorption Modulated Laser)-based modules to SiPh-based modules. We estimate that the contribution of SiPh-based module shipments will increase from 50% in 2025 to 69% by 2028E, due to the higher penetration of Silicon Photonics for 800G and above high-speed optical transceivers. Expanding to scale-up — in addition to scale-out — should support GM expansion, as scale-up demands higher bandwidth and lower latency, which in turn require more advanced, high-end optical products that carry better margins.

We forecast the **net income** to grow at a **69% CAGR in 2026-28E**, with net margin improving from 31% in 2026E to 33% in 2028E, supported by GM improvement on a better product mix and improving operational efficiency amid the larger business scale.

Exhibit 4: Revenue forecast details

	2026E	2027E	2028E
Total revenues (Rmb m)	123,649	249,630	334,038
YoY %	223%	102%	34%
A Scale out & Front-end network, Rmb m	118,794	236,884	293,053
YoY %	217%	99%	24%
as a % of total revenues	96%	95%	88%
i. Siph pluggable optical module	100,220	211,588	290,189
as a % of total revenues	81%	85%	87%
a. Shipment (k units)	25,498	43,833	59,191
400G	1,327	843	221
800G	11,896	15,388	14,535
1.6T	12,275	21,579	24,835
3.2T	-	6,023	19,599
Siph shipment contribution	68%	69%	69%
b. ASP (US\$)	555	675	686
400G	190	179	143
800G	381	357	279
1.6T	763	715	560
3.2T	-	1,414	1,152
ii. EML pluggable optical module	18,574	25,296	2,865
as a % of total revenues	15%	10%	1%
a. Shipment (k units)	8,645	10,395	4,730
Below 400G	3,973	4,335	4,432
400G	995	632	15
800G	2,735	3,599	176
1.6T	942	1,829	107
3.2T	-	-	-
b. ASP (US\$)	303	340	85
Below 400G	71	67	60
400G	228	215	162
800G	457	428	335
1.6T	917	858	672
3.2T	-	-	-
Per G ASP (US\$)	0.6	0.5	0.4
YoY	-3%	-6%	-22%
iii. UT rate cross check			
a. Production (k units)	42,521	71,311	95,971
Shipment	37,743	63,298	85,187
Inventory	4,778	8,014	10,785
Inventory ratio	11%	11%	11%
b. Capacity (k units)	60,000	90,000	120,000
UT rate	71%	79%	80%

Source: Goldman Sachs Global Investment Research

Exhibit 5: Revenue forecast details (continued)

	2026E	2027E	2028E
B Scale up, Rmb m	4,157	11,937	39,633
YoY %		187%	232%
as a % of total revenues	3%	5%	12%
i. Optical module / engine	4,118	10,930	34,692
as a % of total revenues	3%	4%	10%
a. Shipment (k units)	3,600	9,070	21,266
3.2T CPO	-	100	600
6.4T CPO	-	-	220
3.2T NPO	3,600	8,960	14,336
6.4T NPO	-	10	6,100
12.8T NPO	-	-	10
as a % of total shipment	10%	14%	25%
b. ASP (US\$)			
3.2T CPO		1,414	1,109
6.4T CPO		-	2,043
3.2T NPO	161	155	142
6.4T NPO	-	304	279
12.8T NPO	-	-	547
Per G ASP - NPO (US\$)	0.1	0.0	0.0
YoY		-4%	-8%
ii. Optical components	39	867	2,849
as a % of total revenues	0.03%	0.3%	1%
a. Shipment (k units)			
FAU for CPO switch	36	528	1,458
ELS module for CPO switch	9	207	712
b. ASP (US\$)			
FAU for CPO switch	50	77	91
ELS module for CPO switch	404	391	373
iii. Optical switch (OCS)		139	2,091
as a % of total revenues		0.1%	0.6%
a. Shipment (k units)		0.2	2.4
ASP (US\$)		130,000	124,468
C Scale across, Rmb m	66	66	215
YoY %			226%
as a % of total revenues		0.0%	0.1%
D Others, Rmb m	698	744	1,138

Source: Goldman Sachs Global Investment Research

Exhibit 6: GP forecast details

	2026E	2027E	2028E
Total Gross profits (Rmb m)	59,065	121,465	167,517
GM%	47.8%	48.7%	50.1%
A Scale out & Front-end network, Rmb m	56,601	114,664	145,190
GM%	47.6%	48.4%	49.5%
as a % of total Gross profits	96%	94%	87%
i. Siph pluggable optical module	49,616	104,987	144,245
as a % of total Gross profits	84%	86%	86%
a. Gross profits			
400G	768	465	97
800G	15,680	19,120	14,087
1.6T	33,168	54,965	49,326
3.2T		30,437	80,735
b. GM	49.5%	49.6%	49.7%
400G	42.9%	43.0%	42.8%
800G	48.9%	48.7%	48.5%
1.6T	50.0%	49.8%	49.6%
3.2T		50.0%	50.0%
ii. EML pluggable optical module	6,986	9,677	945
as a % of total Gross profits	12%	8%	1%
a. Gross profits			
Below 400G	566	623	573
400G	530	321	6
800G	3,440	4,265	163
1.6T	2,449	4,467	204
3.2T			
b. GM	37.6%	38.3%	33.0%
Below 400G	28.5%	30.0%	30.0%
400G	32.9%	33.0%	32.8%
800G	38.9%	38.7%	38.5%
1.6T	40.0%	39.8%	39.6%
3.2T			
B Scale up, Rmb m	2,364	6,654	21,903
GM%	56.9%	55.7%	55.3%
as a % of total Gross profits	4%	5%	13%
i. Optical module / engine	2,347	6,230	19,775
as a % of total Gross profits	4%	5%	12%
a. Gross profits			
NPO engine	2,347	5,654	15,231
CPO engine		576	4,544
b. GM	57.0%	57.0%	57.0%
NPO engine	57.0%	57.0%	57.0%
CPO engine		57.0%	57.0%
ii. Optical components	16	361	1,187
as a % of total Gross profits	0.03%	0.3%	1%
a. Gross profits			
FAU for CPO switch	7	159	522
ELS module for CPO switch	9	202	665
b. GM	41.7%	41.7%	41.7%
FAU for CPO switch	55.0%	55.0%	55.0%
ELS module for CPO switch	35.0%	35.0%	35.0%
iii. Optical switch (OCS)		63	941
as a % of total Gross profits		0.1%	0.6%
a. Gross profits		63	941
b. GM		45.0%	45.0%
C Scale across, Rmb m		23	75
as a % of total Gross profits		0.02%	0.04%
GM		35.0%	35.0%
D Others, Rmb m	100	124	349
as a % of total Gross profits	0.2%	0.1%	0.21%
GM	14.4%	16.7%	30.7%

Source: Goldman Sachs Global Investment Research

Exhibit 7: Innolight's P&L summary

	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Income statement														
Revenue	10,718	23,862	38,240	123,649	249,630	334,038	6,674	8,115	10,216	13,235	19,496	25,896	29,915	48,341
Gross profit	3,536	8,067	16,074	59,065	121,465	167,517	2,449	3,367	4,371	5,887	8,980	11,939	14,481	23,666
Selling expense	125	199	226	495	999	1,336	50	51	60	65	79	104	120	193
G&A expense	434	680	761	2,470	4,618	6,199	148	142	216	255	409	544	598	918
R&D expense	739	1,244	1,615	5,198	9,985	13,362	290	295	360	670	645	932	1,107	2,514
OP income	2,188	5,897	13,394	50,479	105,115	145,619	1,950	2,844	3,719	4,882	7,753	10,255	12,552	19,920
Pretax income	2,492	6,052	13,600	50,472	105,394	145,899	1,990	2,891	3,959	4,759	7,536	10,325	12,621	19,990
Net income	2,174	5,171	10,797	38,401	80,106	109,643	1,583	2,412	3,137	3,665	5,735	7,855	9,602	15,210
EBITDA	2,658	6,540	14,221	51,356	106,676	147,789	2,157	3,050	3,926	5,088	7,972	10,475	12,771	20,139
Ratios														
R&D to rev	6.9%	5.2%	4.2%	4.2%	4.0%	4.0%	4.4%	3.6%	3.5%	5.1%	3.3%	3.6%	3.7%	5.2%
Opex ratio	12.6%	9.1%	7.0%	6.9%	6.6%	6.6%	7.5%	6.4%	6.4%	7.6%	6.3%	6.5%	6.5%	7.8%
Tax rate	11.4%	11.2%	14.9%	16.2%	16.2%	16.5%	15.0%	11.7%	16.0%	15.7%	16.2%	16.2%	16.2%	16.2%
Margins														
Gross margin	33.0%	33.8%	42.0%	47.8%	48.7%	50.1%	36.7%	41.5%	42.8%	44.5%	46.1%	46.1%	48.4%	49.0%
Operating margin	20.4%	24.7%	35.0%	40.8%	42.1%	43.6%	29.2%	35.0%	36.4%	36.9%	39.8%	39.6%	42.0%	41.2%
Pretax margin	23.3%	25.4%	35.6%	40.8%	42.2%	43.7%	29.8%	35.6%	38.8%	36.0%	38.7%	39.9%	42.2%	41.4%
Net margin	20.3%	21.7%	28.2%	31.1%	32.1%	32.8%	23.7%	29.7%	30.7%	27.7%	29.4%	30.3%	32.1%	31.5%
EBITDA margin	24.8%	27.4%	37.2%	41.5%	42.7%	44.2%	32.3%	37.6%	38.4%	38.4%	40.9%	40.4%	42.7%	41.7%
YoY														
Revenue	11%	123%	60%	223%	102%	34%	38%	36%	57%	102%	192%	219%	193%	265%
Gross profit	25%	128%	99%	267%	106%	38%	54%	69%	100%	156%	267%	255%	231%	302%
OP income	56%	170%	127%	277%	108%	39%	74%	88%	112%	223%	298%	261%	237%	308%
Pretax income	84%	143%	125%	271%	109%	38%	69%	86%	135%	190%	279%	257%	219%	320%
Net income	78%	138%	109%	256%	109%	37%	57%	79%	125%	158%	262%	226%	206%	315%
EBITDA	44%	146%	117%	261%	108%	39%	68%	82%	105%	205%	270%	243%	225%	296%
QoQ														
Revenue							2%	22%	26%	30%	47%	33%	16%	62%
Gross profit							7%	37%	30%	35%	53%	33%	21%	63%
OP income							29%	46%	31%	31%	59%	32%	22%	59%
Pretax income							21%	45%	37%	20%	58%	37%	22%	58%
Net income							12%	52%	30%	17%	56%	37%	22%	58%
EBITDA							29%	41%	29%	30%	57%	31%	22%	58%

Source: Company data, Goldman Sachs Global Investment Research

Balance sheet

We forecast **ROE** to grow to 52%-61% in 2026E-28E, driven by net margin expansion due to the growing high-speed optical module business, supported by the AI infrastructure cycle.

We expect the **cash conversion cycle** to improve from 122 days in 2025 to 98 days in 2028E due to an improvement in inventory days given the strong demand driven by AI, and an improvement in AR days as a result of improved bargaining power given its leading market position (largest scale and latest technology).

We forecast the **gearing ratio (Net Debt/Total Equity)** to be at -68% in 2028E (2025: -30%) as the company will remain in net cash position through 2028E, with rising net cash driven by growing operating cash flow due to the AI infrastructure cycle.

Exhibit 8: Innolight's Balance Sheet

	2023	2024	2025	2026E	2027E	2028E
Balance Sheet						
Cash and equivalents	3,317	5,054	10,987	48,584	99,350	195,055
Accounts receivable	2,905	4,671	6,350	20,752	32,594	36,959
Inventory	4,295	7,051	12,681	29,785	53,786	53,883
Other current assets	803	1,420	1,067	1,067	1,067	1,067
Current assets	11,319	18,196	31,084	100,187	186,797	286,963
Net PP&E/Fixed assets	3,948	5,820	7,081	13,302	18,839	23,766
Net intangibles	401	378	378	309	242	174
Other long-term assets	4,339	4,473	6,747	6,747	6,747	6,747
Non-current assets	8,687	10,671	14,205	20,358	25,827	30,687
Total assets	20,007	28,866	45,289	120,545	212,623	317,650
Accounts payable	2,163	3,508	7,800	11,663	26,962	25,960
Short-term debt	621	2,070	1,086	1,086	1,086	1,086
Other current liabilities	1,576	919	2,672	2,672	2,672	2,672
Current liabilities	4,360	6,497	11,558	15,421	30,720	29,718
Long-term debt	319	606	510	510	510	510
Other long-term liabilities	553	1,470	1,599	1,599	1,599	1,599
Non-current liabilities	872	2,076	2,109	2,109	2,109	2,109
Total liabilities	5,232	8,573	13,668	17,530	32,829	31,827
Total equity	14,774	20,293	31,621	103,015	179,794	285,823
Cash conversion cycle						
Account receivable days	76	58	53	40	39	38
Inventory days	208	131	162	120	119	118
Net payable days	90	66	93	55	55	58
Cash conversion cycle	194	124	122	105	103	98
Ratios						
ROE (common equity)	17%	31%	44%	60%	61%	52%
ROA	12%	21%	29%	46%	48%	41%
Net debt to total equity	-16%	-12%	-30%	-46%	-54%	-68%
Total liabilities to total assets	26%	30%	30%	15%	15%	10%
Dupont analysis						
Asset turnover	0.6	1.0	1.0	1.5	1.5	1.3
Leverage (assets to equity)	1.4	1.5	1.5	1.3	1.3	1.2
Net margin	20%	22%	28%	31%	32%	33%
ROE (total equity)	17%	31%	44%	60%	61%	52%
ROE (common equity)	17%	31%	44%	60%	61%	52%
ROA	12%	21%	29%	46%	48%	41%
CROCI (EDBITA/total equity)	18%	32%	45%	50%	59%	52%

Source: Company data, Goldman Sachs Global Investment Research

Cash flow statement

We expect the company's **capex** to increase by 155% YoY in 2026E to support capacity expansion and to capture the growing demand for high-speed optical modules. We expect capex to remain high through 2028E to support continuous capacity expansion.

Despite the high capex, we expect the **FCF** to remain positive and continue to grow through 2028E due to steady operating cash flow in the coming years, driven by continued earnings growth and margin expansion.

Exhibit 9: Innolight's Cash Flow statement

	2023	2024	2025	2026E	2027E	2028E
Cash flow statement						
Net income	2,174	5,171	10,797	38,401	80,106	109,643
Minority interest add-back	34	200	782	3,896	8,214	12,183
Depreciation and amortization add-back	470	643	826	877	1,561	2,170
(Increase)/decrease in working capital	(961)	(3,178)	(3,016)	(27,644)	(20,544)	(5,464)
Other operating cash flow items	181	327	1,506	(0)	-	-
Cash flow from operating	1,897	3,165	10,896	15,530	69,337	118,531
Capital expenditure	(1,704)	(2,866)	(2,760)	(7,030)	(7,030)	(7,030)
Other investment cash flow items	528	(76)	141	0	-	-
Cash flow from investing	(1,176)	(2,942)	(2,619)	(7,030)	(7,030)	(7,030)
Cash flow from financing	(316)	1,492	(2,144)	29,097	(11,541)	(15,796)
Net change in cash	486	1,737	5,933	37,597	50,766	95,705
FCF	193	298	8,136	8,500	62,307	111,501
Ratio						
Capex to revenue	16%	12%	7%	6%	3%	2%

Source: Company data, Goldman Sachs Global Investment Research

Valuation

We continue to use a near-term P/E methodology to derive our target price, and our target P/E is derived from peers' correlation of P/E and forward year earnings growth and OPM. The average ratio of 2027E P/E to 2027-28E net income YoY and OPM is unchanged at 0.44x. Incorporating our revised estimates (as discussed above, with 2028E earnings YoY (37%) and OPM (44%)), we raise our target P/E multiple to 35.8x (vs. 34.2x previously) and our 12-month target price moves to Rmb2,581 (vs. Rmb1,187 previously). We have a Buy rating on Innolight.

Compared to Innolight's historical trading range, our target P/E of 35.8x is between the avg.+1SD. (31x) and peak (42x). Our view on Innolight is driven by (1) AI server shipment ramp-up with specification migration to drive the company's optical module shipment increase and product-mix upgrade, and (2) a leading market position in high-speed optical modules along with fast migration and light source shortage leading to healthier competition.

Exhibit 10: Innolight's 12M forward P/E

Source: Datastream

Exhibit 11: Innolight's peer comparison

Company Ticker	Eoptolink 300502.SZ	Wistron 3231.TW	Lumentum LITE	Arista ANET	FII 601138.SS	Landmark 3081.TWO	VPEC 2455.TW	
2027E PE	23.9	8.7	41.3	31.4	16.1	56.8	37.1	
2028E NI YoY	15%	16%	53%	22%	34%	64%	40%	
2028E OPM	46%	4%	41%	51%	4%	49%	35%	
Ratio	0.4	0.4	0.4	0.4	0.4	0.5	0.5	
Company Ticker	Coherent COHR	Cisco CSCO	Sumitomo 5802.T	Celestica CLS	Fabrinet FN	Accelink 002281.SZ	Ruijie 301165.SZ	Hua Gong 000988.SZ
2027E PE	39.2	24.6	21.4	24.4	32.6	79.0	35.0	55.2
2028E NI YoY	38%	9%	23%	26%	23%	71%	27%	19%
2028E OPM	25%	35%	11%	8%	11%	13%	9%	12%
Ratio	0.6	0.6	0.6	0.7	0.9	0.9	1.0	1.8
Avg.								0.7
Avg. (low-end, excl. names in grey)								0.44

Estimates (2027E-2028E) for Not Covered companies such as LITE, COHR, FN, Accelink, and Hua Gong are from Bloomberg

Source: Bloomberg, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Zhongji Innolight Co.

Valuation: Our 12-m TP of Rmb2,581 is based on 35.8x 2027E P/E. We derive our target P/E multiple from the networking peers' trading P/E vs. forward-year fundamentals (NI YoY and OPM). Compared to Innolight's historical trading range, the target multiple reflects our view of its leading market position in high-speed connections and product-mix upgrade toward SiPh optical modules, driving GM expansion. We are Buy rated.

Key downside risks: 1) slower-/worse-than-expected 800G+ optical modules demand; 2) slower/worse-than-expected new optical devices ramp pace; 3) faster-than-expected market share normalizing in 800G+ optical modules; 4) geopolitical risks; and 5) worsening component supply situation to constrain shipment growth.

Disclosure Appendix

Reg AC

We, Verena Jeng, Allen Chang and Ting Song, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

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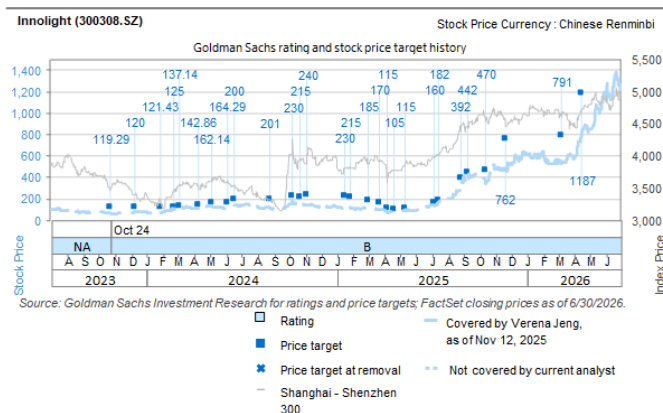
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Target price history table(s)

Innolight (300308.SZ)

Date of report Target price (Rmb) Closing price (Rmb)

16-Apr-26	1,187.00	809.61
09-Mar-26	791.00	525.99
20-Nov-25	762.00	492.00
14-Oct-25	470.00	346.10
08-Sep-25	442.00	369.99
26-Aug-25	392.00	314.00
16-Jul-25	182.00	170.76
07-Jul-25	160.00	135.15
13-May-25	115.00	96.43
22-Apr-25	105.00	80.07
07-Apr-25	115.00	75.10
25-Mar-25	170.00	102.00
03-Mar-25	185.00	102.77
27-Jan-25	215.00	114.82
16-Jan-25	230.00	119.49
05-Nov-24	240.00	148.29
22-Oct-24	215.00	170.00
09-Oct-24	230.00	166.40
26-Aug-24	201.00	114.34
17-Jun-24	200.00	142.51
05-Jun-24	230.00	119.26
06-May-24	227.00	130.87
10-Apr-24	200.00	113.93
05-Mar-24	192.00	120.83
23-Feb-24	175.00	105.52
28-Jan-24	170.00	82.83
10-Dec-23	168.00	83.93
24-Oct-23	167.00	68.43

Price targets shown in table(s) are unadjusted for corporate actions.

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